

Tracing ₹347 crore of lender exposure through 13 entities

A bank-led group of lenders had taken a borrower to insolvency proceedings. My job was to show where the loan money actually went, and whether the promoters had hidden that from the lenders and the market.

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Client type	My role	Period reviewed	Context
Bank-led lending consortium	Senior Analyst, EY	2008 – 2018	Insolvency (IBC / CIRP)

₹347 cr

lender exposure under investigation

₹200 cr+

identified as diverted

13

entities mapped, including the borrower

10 yrs

of financial statements, annual reports and bank records

01 • THE CHALLENGE

Ten years of paper, 13 companies, and no one on the borrower's side willing to explain it

The lenders had classified the account as non-performing and started insolvency proceedings. They suspected that loan money had been moved into companies connected to the promoters rather than used for the purposes it was sanctioned for. Any finding had to hold up before the insolvency tribunal, so every rupee we traced had to be backed by a document.

The records were spread across a decade of audited financial statements, annual reports, bank statements, sanction letters and corporate registry filings for 13 entities. Many of the flows had been set up to look like ordinary trade.

From sanction letter to final beneficiary

1 **Scope and hypotheses**

Set out the lenders' concerns as testable hypotheses: diversion, siphoning, round-tripping and undisclosed related parties. Collected sanction letters and loan agreements to fix the permitted end use.

2 **Entity universe**

Used corporate registry research to link directors, shareholders and addresses, and grew the network from the borrower to 13 connected entities.

3 **Build the data**

Converted ten years of bank statements and financials into one transaction dataset, tagged by entity, counterparty, amount and date.

4 **End-use testing**

Matched each large drawdown, including loans drawn by the CEO, CTO and directors, to its sanctioned purpose, and flagged outflows that went to group companies soon after disbursement.

5 **Trade substance**

Tested purchase and sales entries for real goods movement: invoices with no delivery trail, circular billing, and counterparties with no operations.

6 **Disclosure check**

Compared the related-party transactions we found with what the annual reports disclosed under SEBI rules and IAS 24 principles.

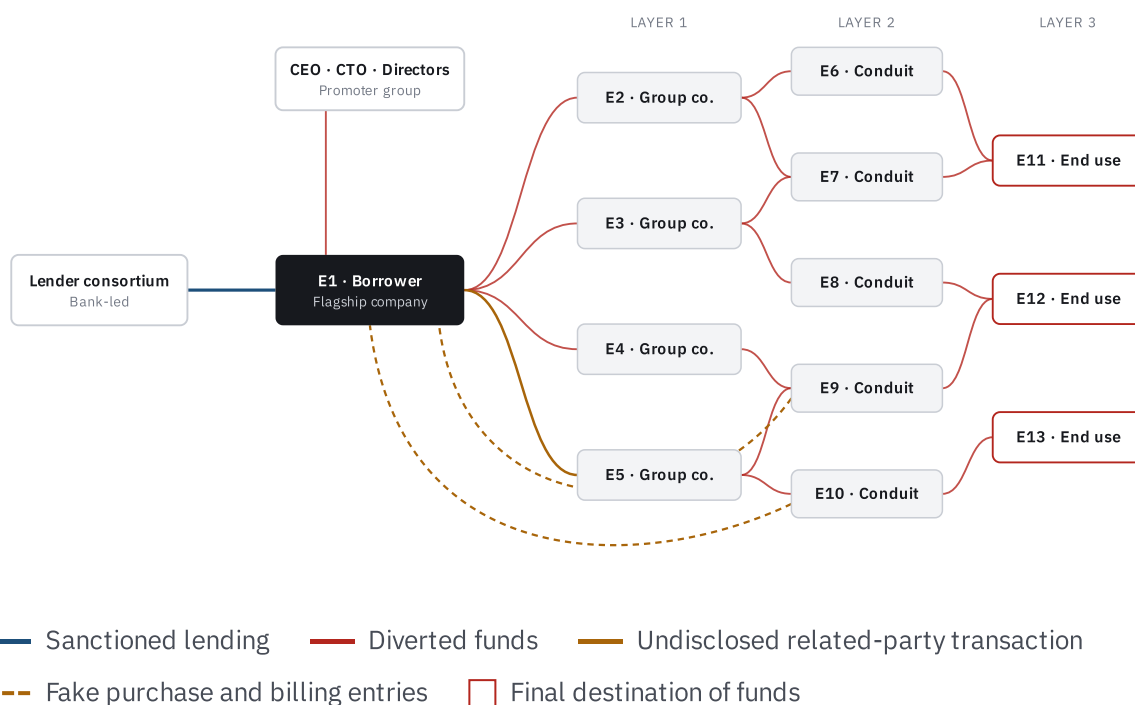
7 **Evidence pack**

Put together fund-flow charts, a transaction schedule and a document index, each linked to a source document, for the lenders and their counsel.

How the money moved

Fund-flow map across 13 entities

Schematic. Entity names withheld. Hover over a line or box for detail.



The layer structure is illustrative.

04 · FINDINGS

What the evidence showed

FINDING	WHAT I FOUND	RATING
Diversion of funds	Loans drawn by the CEO, CTO and directors did not match their sanctioned purpose. Money reached group entities soon after it was disbursed.	Critical
Undisclosed related parties	Transactions with connected entities were missing from the related-party disclosures SEBI requires.	Critical
Fake purchases and billing	Purchase and billing entries with no real goods movement, used to make outflows look like trade payments. I mapped them as evidence.	Critical
Circular flows	Money that passed through conduit entities and came back as apparent receipts, inflating reported turnover.	High

FINDING	WHAT I FOUND	RATING
Exposure quantified	Of ₹347 crore of lender exposure analysed, over ₹200 crore was identified as diverted.	High

05 • CONTROL WEAKNESSES

Why the lenders didn't see it sooner

- **End-use monitoring:** lenders relied on the borrower's own certificates rather than checking where the money actually went after disbursement.
- **Related-party identification:** no independent check of shared directors, shareholders or addresses across counterparties.
- **Trade substance:** invoices were accepted without checking delivery documents, GST filings or whether the counterparty actually operated.
- **Early-warning signals:** circular flows and sudden growth in inter-company balances did not trigger a review.
- **Board oversight:** related-party transactions went through without proper audit committee approval or disclosure.

06 • IMPACT

Evidence the lenders could use

The work gave the consortium an evidence base, with every entry traced to a source document, to support its position in the insolvency proceedings. It also gave the lenders specific changes to make in their end-use monitoring and related-party checks on other accounts.

07 • SKILLS USED

Skills used

Fund-flow & bank-trace analysis	Financial statement forensics		
IAS 24 related-party review	IFRS 9 / NPA exposure	Corporate registry research	
Advanced Excel	Power BI	Intella eDiscovery	IBC / CIRP

RELEVANCE TO UAE ROLES

How this carries over to the UAE

CBUAE-licensed banks run the same end-use and early-warning controls this case tested, and UAE bankruptcy law gives creditors comparable ways to challenge transactions. The same method applies to fraud investigations, credit risk review, and AML work on trade-based money laundering and related-party misuse.